

Apple Inc. (NASDAQ: AAPL)

Internal Equity Research Report: Financial Review, Valuation and Outlook

Report date: November 4, 2024 | Market data as of the October 31, 2024 close | Fiscal year ends in late September

Internal rating	Overweight	Reference price (Oct 31, 2024)	\$225.91
12-month target price	\$255	Implied upside	+12.9%
Market capitalization	~\$3.4 trillion	52-week range	\$164.07 - \$237.49
FY2024 diluted EPS (GAAP)	\$6.08	FY2024 EPS excl. one-time tax charge	~\$6.75

1. Executive Summary

This internal report reviews Apple's financial performance for fiscal years 2022 to 2024 and sets out the valuation framework used by the technology research team. Apple reported fiscal 2024 net sales of \$391.0 billion (up 2.0%), net income of \$93.7 billion and diluted earnings per share (EPS) of \$6.08. Reported profit was reduced by a one-time income tax charge of \$10.2 billion linked to the reversal of the European Commission State Aid decision. Excluding that charge, fiscal 2024 diluted EPS was approximately \$6.75.

The team rates Apple **Overweight** with a 12-month target price of **\$255**. The internal view is that Apple's earnings growth over the next three years will come from four sources:

- **Services mix shift:** Services grew 12.9% in fiscal 2024 at a 73.9% gross margin.
- **Gross margin expansion:** company gross margin rose from 43.3% (FY2022) to 46.2% (FY2024).
- **Share repurchases:** diluted share count fell 2.6% in fiscal 2024.
- **A gradual iPhone upgrade cycle** supported by Apple Intelligence, the company's generative AI feature set.

The main internal concerns are iPhone concentration, declining Greater China sales, regulatory pressure on the App Store and search payments, and a valuation that already sits at a premium to the historical average.

2. Historical Financial Performance

2.1 Annual revenue, net income and EPS (fiscal years 2022 to 2024)

USD millions, except per-share data	FY2022	FY2023	FY2024
Total net sales	394,328	383,285	391,035
Net sales growth	+7.8%	-2.8%	+2.0%
iPhone	205,489	200,583	201,183
Mac	40,177	29,357	29,984
iPad	29,292	28,300	26,694
Wearables, Home and Accessories	41,241	39,845	37,005
Services	78,129	85,200	96,169
Gross margin (%)	43.3%	44.1%	46.2%
Research and development	26,251	29,915	31,370
Operating income	119,437	114,301	123,216
Net income	99,803	96,995	93,736
Diluted EPS (GAAP)	\$6.11	\$6.13	\$6.08

Source: Apple Inc. annual reports (Form 10-K) and fourth-quarter earnings releases for fiscal 2022 to fiscal 2024. FY2024 ended September 28, 2024; FY2023 ended September 30, 2023; FY2022 ended September 24, 2022.

Revenue

- Net sales fell 2.8% in fiscal 2023 as Mac revenue dropped 26.9% after the pandemic-era peak and iPhone revenue slipped 2.4%.
- Fiscal 2024 net sales recovered 2.0% to \$391.0 billion. Services (+12.9%) offset declines in iPad (-5.7%) and Wearables, Home and Accessories (-7.1%).
- iPhone accounted for 51.4% of fiscal 2024 net sales (\$201.2 billion). iPhone revenue is 2.1% lower than the fiscal 2022 level.

Net income

- Net income declined from \$99.8 billion (FY2022) to \$97.0 billion (FY2023) and \$93.7 billion (FY2024).
- The fiscal 2024 decline is caused by a one-time \$10.2 billion tax charge in the September quarter. Excluding it, net income was approximately \$103.9 billion, up about 7.1% from fiscal 2023.

Earnings per share

- GAAP diluted EPS was \$6.11, \$6.13 and \$6.08 in fiscal 2022, 2023 and 2024. Excluding the one-time charge, fiscal 2024 diluted EPS was approximately \$6.75, up about 10.1% from fiscal 2023.
- Diluted weighted-average shares fell from 15.81 billion (FY2023) to 15.41 billion (FY2024), a 2.6% reduction driven by buybacks.

2.2 Fiscal 2024 quarterly results

Quarter	Period ended	Net sales (USD m)	Net income (USD m)	Diluted EPS
Q1 FY2024	Dec 30, 2023	119,575	33,916	\$2.18
Q2 FY2024	Mar 30, 2024	90,753	23,636	\$1.53
Q3 FY2024	Jun 29, 2024	85,777	21,448	\$1.40
Q4 FY2024	Sep 28, 2024	94,930	14,736	\$0.97 (\$1.64 excl. charge)
Full year FY2024		391,035	93,736	\$6.08

2.3 Net sales by geography

Segment (USD millions)	FY2023	FY2024	Change	% of FY2024 sales
Americas	162,560	167,045	+2.8%	42.7%
Europe	94,294	101,328	+7.5%	25.9%
Greater China	72,559	66,952	-7.7%	17.1%
Japan	24,257	25,052	+3.3%	6.4%
Rest of Asia Pacific	29,615	30,658	+3.5%	7.8%
Total	383,285	391,035	+2.0%	100.0%

3. Historical Stock Price Information

The reference price for this report is the October 31, 2024 close of **\$225.91**. The table below shows the closing price on the day of each of the last three fiscal fourth-quarter earnings releases.

Date	Reference point	Closing price
Oct 27, 2022	FY2022 Q4 earnings day	\$144.80
Nov 2, 2023	FY2023 Q4 earnings day	\$177.57
Oct 31, 2024	FY2024 Q4 earnings day (report reference price)	\$225.91

Price statistic (as of Oct 31, 2024)		Value
52-week low		\$164.07 (April 19, 2024)
52-week high		\$237.49 (October 15, 2024)
Reference price vs. 52-week high		-4.9%
One-year price change (Nov 2, 2023 to Oct 31, 2024)		+27.2%
Two-year price change (Oct 27, 2022 to Oct 31, 2024)		+56.0%
Market capitalization		~\$3.4 trillion
Price / FY2024 GAAP EPS (\$6.08)		37.2x
Price / FY2024 EPS excl. one-time charge (~\$6.75)		33.5x
Price / FY2025E EPS (\$7.30, internal estimate)		30.9x

Internal view: the shares rose steadily through 2024 on Services strength, buyback support and enthusiasm for Apple Intelligence, and were trading close to the 52-week high at the report date.

4. Internal Valuation Assumptions

The team values Apple using two equally weighted methods: a price-to-earnings (P/E) multiple on fiscal 2026 estimated EPS and a discounted cash flow (DCF) model.

Method	Key inputs	Value per share	Weight
P/E multiple	32x FY2026E EPS of \$7.95	\$254	50%
Discounted cash flow	WACC 8.5%, terminal growth 3.0%	\$256	50%
Blended 12-month target		\$255	100%

4.1 Internal forecasts

	FY2024A	FY2025E	FY2026E	FY2027E
Net sales (USD billions)	391.0	411.0	432.0	455.0
Net sales growth	+2.0%	+5.1%	+5.1%	+5.3%
Services revenue (USD billions)	96.2	108.7	122.8	138.8
Gross margin	46.2%	46.5%	47.0%	47.3%
Diluted EPS	\$6.08 (~\$6.75 adj.)	\$7.30	\$7.95	\$8.65

4.2 Key assumptions

- **Services:** revenue compounds at about 13% per year from fiscal 2024 to fiscal 2027. Products revenue grows about 2.4% per year.
- **iPhone:** revenue grows 4% in fiscal 2025E and 5% in fiscal 2026E as Apple Intelligence supports upgrades.

- **Greater China:** flat in fiscal 2025E and up 2% in fiscal 2026E after a 7.7% decline in fiscal 2024.
- **Margins:** gross margin expands 0.3 to 0.5 percentage points per year on Services mix. R&D stays near 8% of net sales.
- **Tax and share count:** normalized tax rate of 16.5% (fiscal 2024 reported rate was 24.1% because of the one-time charge). Diluted shares decline about 2.5% per year, supported by the \$110 billion buyback authorization announced in May 2024.
- **Multiple:** 32x fiscal 2026E EPS, a premium to the internal five-year average of about 27x, justified by higher Services mix and margins.
- **Capital spending:** stays near 2.5% to 3% of net sales. The model assumes no step-up in AI infrastructure spending.

4.3 Scenario analysis (12-month value per share)

Scenario	FY2026E EPS	P/E	Value	Main drivers
Bear	\$7.50	26x	\$195	Greater China down 15%, regulatory limits on search and App Store revenue, weak AI-driven upgrades.
Base	\$7.95	32x	\$255	Assumptions in section 4.2.
Bull	\$8.50	34x	\$290	Services growth of 15% per year and a stronger iPhone cycle (+8% revenue growth) from AI features.

5. Internal Analyst View: Apple's Strengths

- **Large and loyal installed base.** Apple reported more than 2.2 billion active devices in February 2024, an all-time high across all products and geographic segments. High retention supports repeat hardware sales and Services attach.
- **Services flywheel.** Services revenue reached \$96.2 billion in fiscal 2024 (+12.9%) at a 73.9% gross margin. Services is 24.6% of net sales but about 39% of gross profit.
- **Margin expansion.** Company gross margin improved from 43.3% in fiscal 2022 to 46.2% in fiscal 2024, and operating income reached \$123.2 billion.
- **Capital returns.** Diluted shares fell 2.6% in fiscal 2024. The quarterly dividend was \$0.25 per share at the report date.
- **Vertical integration.** Apple silicon, software and services are designed together, which supports premium pricing and a differentiated privacy position.
- **Geographic balance.** The Americas and Europe together represent 68.6% of net sales and both grew in fiscal 2024.

6. Internal Analyst View: Apple's Risks

- **iPhone concentration.** iPhone is 51.4% of net sales and revenue has been flat to slightly lower for three years. A weak product cycle would have an outsized effect on earnings.
- **Greater China.** Sales fell 7.7% to \$67.0 billion in fiscal 2024 on domestic competition (including a recovery at Huawei) and softer consumer demand.
- **Regulation and litigation.** Risks include the US Department of Justice antitrust lawsuit filed in March 2024, the EU Digital Markets Act, App Store commission changes, and the August 2024 US ruling against Google's search monopoly, which puts Google's default-search payments to Apple (reported at roughly \$20 billion in 2022) at risk. The European State Aid reversal produced the \$10.2 billion one-time charge.
- **Supply chain, geopolitics and trade policy.** Manufacturing is concentrated in Asia. Tariffs, export controls or political tension could raise costs or disrupt supply.

- **Weak non-iPhone hardware.** iPad revenue fell 5.7% and Wearables, Home and Accessories fell 7.1% in fiscal 2024. Vision Pro, launched in February 2024, has had limited adoption.
- **Valuation.** At 37.2x GAAP EPS the shares trade above the internal five-year average multiple. Any earnings disappointment could cause multiple compression.

7. Internal Assumptions on Apple's AI Strategy

Apple introduced **Apple Intelligence** at its Worldwide Developers Conference in June 2024. It combines on-device models with a server system called Private Cloud Compute, and it is limited to iPhone 15 Pro and newer iPhones and to iPads and Macs with M1 or later chips. The first features began shipping with iOS 18.1 in late October 2024 in US English, with more languages, features and an OpenAI ChatGPT integration expected by the end of 2024 and through 2025.

The internal team makes the following assumptions:

- **AI is a hardware upgrade catalyst, not a separate revenue line.** The model includes no direct AI revenue. Apple Intelligence is assumed to add 2 to 3 percentage points of iPhone unit growth versus baseline in fiscal 2025E and fiscal 2026E.
- **Capital-light approach.** Because most processing runs on-device and through Private Cloud Compute, Apple is assumed not to match the AI infrastructure spending of the large cloud providers.
- **Partnerships over in-house frontier models.** Apple is assumed to rely on partners such as OpenAI for advanced chatbot capability while focusing on privacy-preserving personal features.
- **Siri improvements arrive gradually.** More capable, personalized Siri features are expected during 2025. The model assumes a smooth rollout with no major delays.
- **Services upside is not modeled.** Potential paid AI features or higher Services engagement are treated as upside to the base case.

Key AI risks: staggered availability by language and region (including uncertainty about regulatory approval and local partners in China), competition from Google, Microsoft and Samsung, and the possibility that consumers do not upgrade for AI features alone.

8. Sources and Notice

Historical financial data (fiscal 2022 to fiscal 2024) comes from Apple Inc.'s Form 10-K filings and earnings releases (Form 8-K, Exhibit 99.1). Share price data comes from public market data. The rating, target price, forecasts, scenario values, valuation assumptions and internal views in this document are illustrative and were written to demonstrate a multi-agent retrieval workflow. This document is not investment advice.